
Generative AI's Act Two

From Technology Hammer to Real Value

Sequoia Capital

Sonya Huang, Pat Grady and GPT-4 • September 2023

Six Decades of Technological Progress Converged to Enable Generative AI

6 Decades

Moore's Law

Delivered the compute horsepower to process exaflops of data

4 Decades

The Internet

Produced trillions of tokens of training data, accelerated by COVID

2 Decades

Mobile & Cloud

Put a supercomputer in every human's palm

ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B

in startup revenue
Months, not years

▪ ChatGPT

Fastest-growing app in history — Strong PMF among students & developers

▪ Midjourney

Hundreds of millions in revenue — Team of just 11 people

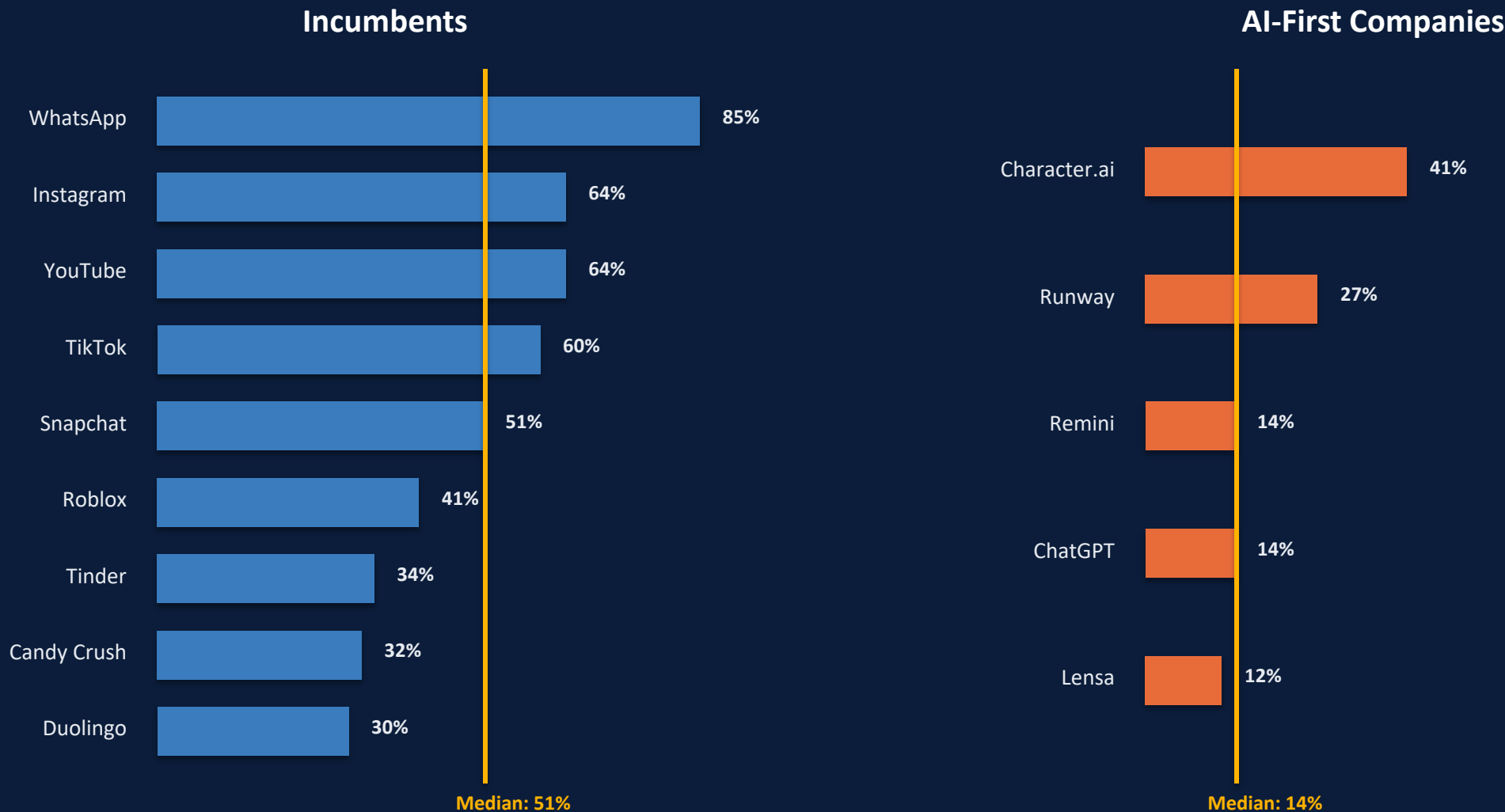
▪ Character.ai

AI entertainment & companionship — 2-hour average session time

Despite this traction, many AI companies lack product-market fit or sustainable competitive advantage. Excitement has outpaced execution for much of the market.

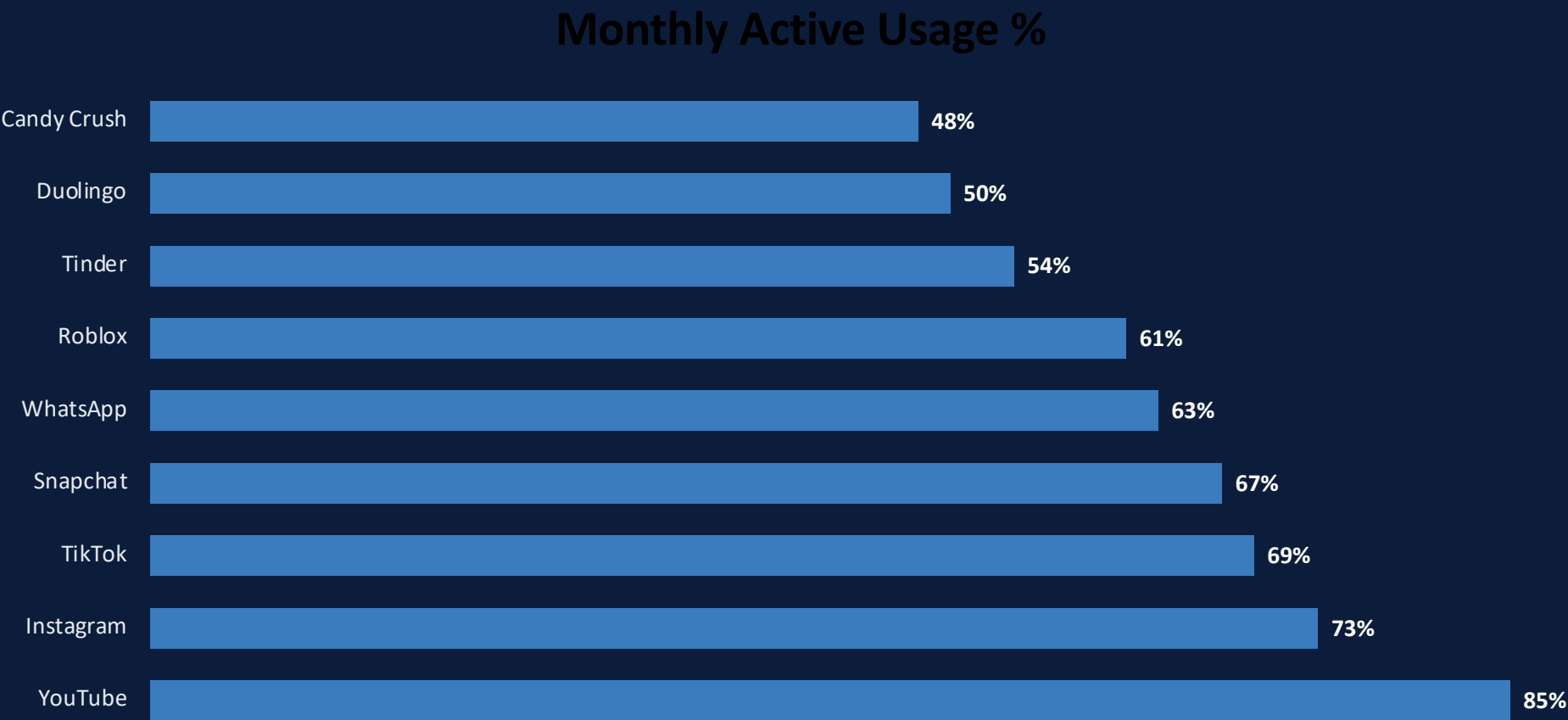
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Mobile app retention rates • 3.6× disadvantage for AI-first companies



YouTube Leads Incumbents at 85% Monthly Active Usage

Monthly active usage rates set a high bar for AI-first apps to clear



Median: 63%

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1: TECHNOLOGY-OUT

Foundation models as the entire solution

Novelty apps and lightweight demos

Thin wrappers around model capabilities

Poor user retention (14% median)

"AI Salesforce" / "AI Adobe" copycats

Technology looking for a problem

ACT 2: CUSTOMER-BACK

Foundation models as a piece of a comprehensive solution

New editing interfaces for stickier workflows and better outputs

Multi-modal in nature

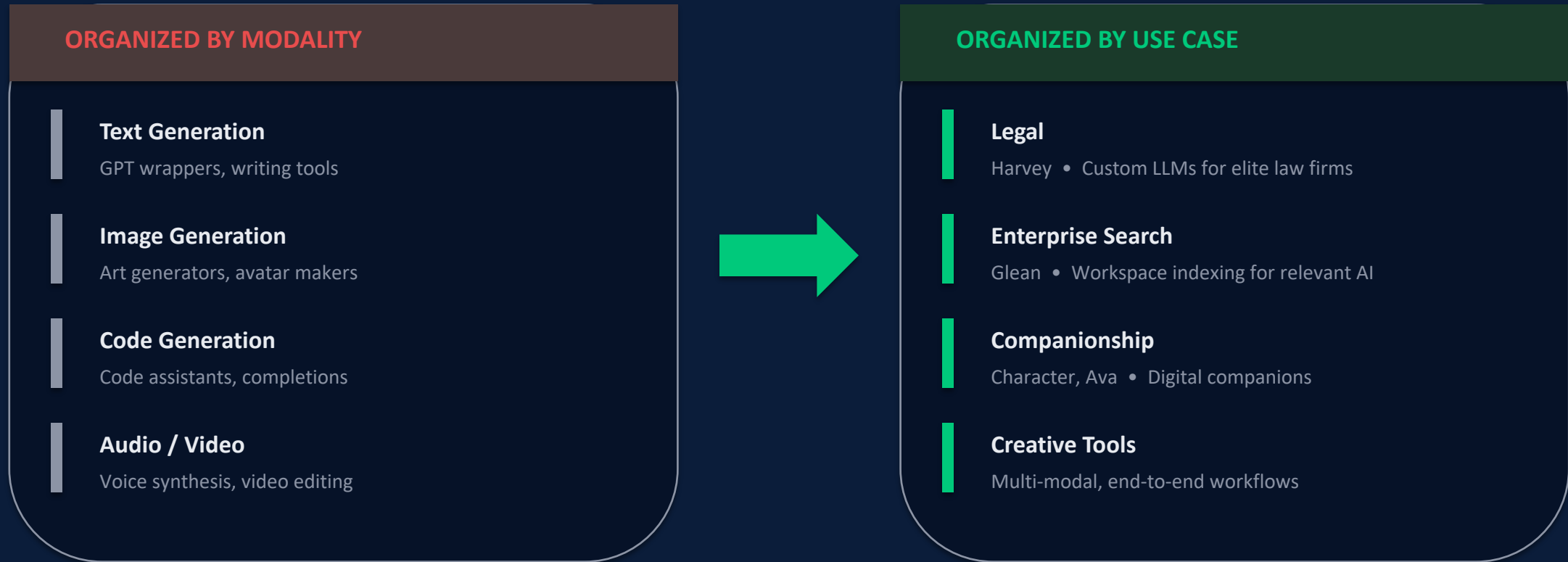
Solves problems end-to-end

Exemplars: Harvey, Glean, Character, Ava

Customer problem seeking the best tool

Market Map Reorganized by Use Case, Not Model Modality

The Sequoia GenAI market map now reflects the shift from technology hammer to value delivery



Reflects the increasingly multi-modal nature of applications and the broader Act 1 → Act 2 transition.

Key Takeaways: What Separates Winners in Act Two

1 Retention is the critical challenge

AI-first apps at 14% median retention vs. 51% for incumbents — a 3.6× gap that must close.

2 Foundation models should be a component, not the whole product

Act 2 winners use models as a piece of a comprehensive, workflow-integrated solution.

3 Multi-modal, end-to-end problem solving wins

New editing interfaces and cross-modal workflows create stickiness that thin wrappers cannot.

4 The >\$1B revenue milestone proves real demand exists

Commercial traction exceeded SaaS timelines, validating the market despite hype-cycle skepticism.

5 Companies solving end-to-end human problems will define Act 2

Harvey, Glean, Character, and Ava point the way: customer-back, not technology-out.